

One of the easiest ways to save on car insurance is to pay your entire policy in full, which means annual or six-month payments instead of monthly ones. Insurance companies tack on extra fees for monthly payment plans, and you can avoid these entirely just by setting aside enough money each paycheck until your bill is due.

Let me show you a real life example taken from one of my 2013 car insurance bills:

A six-month policy premium came in the mail saying we owed \$633.13 for our next policy term. But if we paid the bill in full, it dropped all the way down to \$506.50—a **total savings of \$126.63**—just for paying what we should have anyway!

If you don't currently pay your premium in full, this method will take some getting used to before it becomes a habit, but it's more than worth the effort. It's pretty easy to implement too. Just use that number on your annual or six-month bill and divide it by the number of months each term covers. That's the amount you need to set aside every month in order to pay your premium the next time it arrives!

## 2. DON'T CARRY EXCESS COVERAGE

If you've never examined your car insurance policy before (it's exciting bedside reading, I know), it's good practice to meticulously comb through your policy and make sure you're not paying for more than you need.

For instance, you could drop rental reimbursement, towing assistance, or even comprehensive coverage to save a little extra money each year. These policies might already be covered by companies like AAA, meaning you potentially double pay for the same service. However, you'll definitely want to speak to a professional before decreasing something like liability coverage. If you were to ever get into an accident with an expensive car, you could be left holding a hefty bill, not to mention an unfortunate lawsuit!

You'll also want to consider the age of your car before making any big decisions, especially regarding comprehensive coverage. If it's newer, you